

		practiced law following his suspension in July 2025. Thus, the Motion is denied on this ground.
8	21-01185998 <i>Jackson vs. Collectors Universe, Inc.</i>	Motion for Attorney Fees Defendant Collectors Universe Inc., also sued in the name of its division, Professional Sports Authenticator aka PSA’s Motion for Attorneys’ Fees is GRANTED in the reduced amount of \$718,701.75. PSA seeks \$1,214,637.00 in attorneys’ fees pursuant to Code of Civil Procedure section 1717, which provides: “In any action on a contract, where the contract specifically provides that attorney’s fees and costs . . . shall be awarded . . . to the prevailing party, then the party who is determined to be the party prevailing on the contract . . . shall be entitled to reasonable attorney’s fees. . . .” “California courts ‘liberally construe ‘on a contract’ to extend to any action ‘[a]s long as an action ‘involves’ a contract and one of the parties would be entitled to recover attorney fees under the contract if that party prevails in its lawsuit” (<i>Mitchell Land & Improvement Co. v. Ristorante Ferrantelli, Inc.</i> (2007) 158 Cal.App.4th 479, 486 [citations omitted].) ““As to tort claims, the question of whether to award attorney[] fees turns on the language of the contractual attorney[] fee provision, i.e., whether the party seeking fees has ‘prevailed’ within the meaning of the provision and whether the type of claim is within the scope of the provision.”” (<i>Yoon v. Cam IX Trust</i> (2021) 60 Cal.App.5th 388, 392 [citation omitted].) “To determine whether an action is on the contract, we look to the complaint and focus on the basis of the cause of action. [Citations.] Any action that is based on a contract is an action on that contract regardless of the relief sought.” (<i>Id.</i> at pp. 392-393 [citations omitted].) On 11/10/25, the Court granted PSA’s Motion for Nonsuit as to Plaintiff’s claims for negligence and under the Consumer Legal Remedies Act (Civ. Code §§ 1750 et seq.). (ROA 565.) PSA’s request for attorney’s fees in the amount of \$1,214,637.00 consists of: (1) \$999,248.00 (Alston & Bird’s work 3/1/25-2/17/26) (2) \$198,589.00 (Attlessey Ward’s work 2/24/21-2/28/25); and (3) \$16,800.00 (Alston & Bird’s anticipated work). Plaintiff’s cause of action for negligence PSA contends Plaintiff’s negligence cause of action was “on a contract” as it involved the PSA Terms and Conditions. PSA further contends the action involved PSA’s defensive positions to enforce the terms of the

contract, including the damage review process and the damages cap set out in the contract.

Plaintiff contends his negligence claim does not concern any term within PSA's "Terms and Conditions" agreement.

The PSA Terms and Conditions provides, "with respect to any legal action to enforce the terms and conditions of this Agreement or otherwise arising under or with respect to this Agreement," "[e]ach of Customer and PSA agrees that the prevailing party shall be entitled to an award of its reasonable attorney's fees, costs and expenses." (PSA Ex. 22 at p. 3, ¶ 13.)

As the Court stated in granting PSA's motion for nonsuit, Plaintiff testified he entered into an agreement with PSA that contained terms and conditions he accepted and confirmed in responses to discovery he agreed to PSA's terms and conditions in the course of submitting the card at issue for grading. (PSA Ex. 25 at 98:8-14.) The Court noted the terms and conditions expressly covered the duties owed by PSA to Plaintiff in the course of grading his card. (PSA Ex. 25 at 98:14-16.)

The Court finds Plaintiff's negligence was an action "on a contract" as it involved the PSA which provided a prevailing party would be entitled to attorney's fees.

Plaintiff's cause of action under the CLRA

Civil Code section 1780, subdivision (e) provides, in part, "Reasonable attorney's fees may be awarded to a prevailing defendant upon a finding by the court that the plaintiff's prosecution of the action was not in good faith."

Plaintiff contends the one-way fee-shifting statutes of the CLRA prevail over the reciprocal fee-shifting policy of section 1717 such that PSA is not entitled to recover attorney fees.

PSA contends Plaintiff's prosecution of the action was not in good faith and relies on *Reyes v. Beneficial Bank* (2022) 76 Cal.App.5th 596, 620, which stated, "it is not unreasonable to suspect that, had [defendant] been successful in defending against [a CLRA] cause[] of action, it would have been entitled to an award of attorney fees against plaintiffs because it would have vindicated its right to payment under the Contract"

The Court in *Martinez v. SAI Long Beach B, Inc.* (2025) 108 Cal.App.5th 367, 380 held, however, "absent a finding of bad faith prosecution by the trial court, such a defendant also is not entitled to an award of attorney fees for prevailing on a CLRA claim." In doing so, it noted, "To the extent the *Reyes* court suggested that a prevailing defendant is entitled to an award of attorney fees under the CLRA and Song-Beverly Act, any such suggestion is dicta because *Reyes* concerned a prevailing plaintiff. To the extent such reasoning was not dicta, we disagree, as explained above." (*Ibid.* at fn. 14.)

The Court agrees with *Martinez* that section 1717 does not supersede more specific statutes with one-sided attorney fees provisions, including the CLRA. As such, PSA is entitled to attorney's fees as the prevailing defendant on a CLRA claim only if the Court finds Plaintiff's "prosecution of the action was not in good faith." (Civ. Code, § 1780, subd. (e).)

"Courts have uniformly constructed this language as requiring a subjective test." (*Corbett v. Hayward Dodge, Inc.* (2004) 119 Cal.App.4th 915, 924.) The defendant moving for attorney fees under section 1780, subdivision (e) has the burden of proof of showing the action was not in good faith." (*Id.* at p. 926.)

PSA contends Plaintiff's CLRA action was in not in good faith as it was added "at the last minute in the Second Amended Complaint" (SAC) (Reply at 4:10), PSA offered to conduct a damage review process which Plaintiff refused, and Plaintiff improperly attempted to remove the card from its case at the eleventh hour.

Plaintiff's CLRA cause of action was added to his SAC, which was filed on 4/12/23. Plaintiff subsequently filed a third amended (TAC) complaint on 4/21/25, which included the CLRA claim. Trial commenced on 10/17/25. As such, Plaintiff did not add his CLRA claim "at the last minute," nor do Plaintiff's actions during litigation, including his refusal to resolve the matter via a damage review process necessarily demonstrate the action was not in good faith.

The Court finds PSA has not demonstrated Plaintiff's prosecution of his CLRA action was not in good faith and therefore cannot recover its attorney's fees in connection with the CLRA claim.

PSA suggests should the Court find it is not entitled to such fees, "the Court should apportion the fees attributable to that claim and discount PSA's requested fees only based on that amount. For example, the Court could deduct the handful of time entries that expressly discuss the CLRA claim (which would amount to a deduction of \$32,605 in fees) or deduct 9.1% (i.e., 1/11) of PSA's requested fees given that the CLRA claim was just one of Plaintiff's eleven causes of action (which would amount to a deduction of \$110,421.55 in fees)." (Reply 5:27-28 (fn. 3).)

Neither method of apportionment is sufficient. Deducting only the "handful" of entries that expressly reference the CLRA claim would necessarily exclude work related to this cause of action where the CLRA is not specifically referenced.

Moreover, while PSA contends the CLRA cause of action is one of a total of 11 brought by Plaintiff, a number of Plaintiff's causes of action were removed by the time he filed his SAC on 4/12/23, including his claims for fraud – concealment, fraud – intentional misrepresentation, negligent misrepresentation, false and misleading advertising in violation of Business and Professions Code section 17200, et seq., false

and misleading advertising in violation of Business and Professions Code section 17500, et seq., and breach of fiduciary duty.

Plaintiff's CLRA proceeded to trial on 10/17/25 with only one other cause of action and therefore would have undoubtedly required significant more work than causes of action abandoned two and a half years ago. Thus, deducting only 9.1% (i.e., 1/11) is insufficient as it contemplates fees for work divided evenly among 11 causes of action.

As discussed above, Plaintiff added the CLRA claim to the SAC on 4/12/23 along with causes of action for conversion, trespass to chattel, negligence, and unfair competition (Business & Professions Code § 17200). Plaintiff filed a TAC on 3/18/25 removing the conversion and unfair competition causes of action and ultimately dismissed the trespass to chattel cause of action on 4/22/25. Given the approximately two-year gap between the SAC and TAC, however, it is reasonable that PSA's counsel performed work for the ultimately removed and/or dismissed causes of action within that time.

The Court therefore apportions fees related to the CLRA claim by deducting 1/5 of the fees requested for actual work performed in the amount of \$1,197,837 for a reduced total of \$958,269.60.

Plaintiff's voluntarily dismissed causes of action

Civil Code section 1717, subdivision (b)(2) provides, "Where an action has been voluntarily dismissed or dismissed pursuant to a settlement of the case, there shall be no prevailing party for purposes of this section."

Plaintiff contends PSA may not recover fees in connection with the nine causes of action Plaintiff voluntarily dismissed prior to trial as PSA was never adjudicated the "prevailing party" on any of the dismissed claims.

PSA contends Plaintiff abandoned only claims and did not voluntarily dismiss his entire action and Plaintiff's abandoned claims were inextricably intertwined with at least the negligence claim on which PSA ultimately prevailed at the trial.

As an initial matter, section 1717 refers only to a voluntary dismissal or dismissal pursuant to settlement. Plaintiff voluntarily dismissed only the causes of action for conversion and unfair competition in the SAC (ROA 325) and the trespass to chattel cause of action in the TAC (ROA 436). The other causes of action were merely not included in subsequently amended complaints. Moreover, these causes of action stem from the common issue of Plaintiff submission of the card at issue in accordance with PSA's terms and conditions and the duties owed by PSA to Plaintiff in the course of grading his card pursuant to the terms and conditions. (See *Carver v. Chevron U.S.A., Inc.* (2002) 97 Cal.App.4th 132, 151-152.)

The Court finds PSA is not precluded from recovering fees in connection with these causes of action.

Hourly rates and challenged hours

PSA seeks to recover \$1,214,637.00 in fees based on a total of 2,345 hours worked at rates ranging from \$350 to \$720 for attorneys and a rate of \$180 for paralegals. (Parente Decl., ¶¶ 9, 14, 15; Ward Decl., ¶¶ 7, 12, 13.)

“[T]he fee setting inquiry in California ordinarily begins with the ‘lodestar,’ i.e., the number of hours reasonably expended multiplied by the reasonable hourly rate.” (*PLCM Group v. Drexler* (2000) 22 Cal.4th 1084, 1095.) “In making its calculation [of a reasonable hourly rate], the court may rely on its own knowledge and familiarity with the legal market, as well as the experience, skill, and reputation of the attorney requesting fees, the difficulty or complexity of the litigation to which that skill was applied [citations], and affidavits from other attorneys regarding prevailing fees in the community and rate determinations in other cases.” (*Morris v. Hyundai Motor America* (2019) 41 Cal.App.5th 24, 41 [citations omitted])

Hourly rates of \$350 and \$400 for associates, \$400 and \$720 for partners (with legal experience ranging from several years to 15 years (Parente Decl., ¶ 10), and \$180 for paralegals is reasonable for this type of litigation in the local legal community.

Plaintiff further contends a reduction in fees is warranted due to duplicative billing and clerical work.

Duplicative/excessive billing

Plaintiff seeks a reduction in fees where “two or more partners and associates continually billed for what appears to be the same general event or task on the same day,” (Opp. at 7:20-8:2) as set forth in Plaintiff’s Appendices A and B.

The fact that separate attorneys who each attended the same meeting also each bill for that time does not render a billing entry duplicative. Nor does the fact that different attorneys may have worked on the same task.

Plaintiff also appears to focus its challenge on fees attributable to work performed during trial in this action. Plaintiff contends, for example, that two partners billed 12 hours each on the first day of trial, with two associates billing 12 hours and 9 hours, respectively, and that four attorneys billed almost 12 hours each on the second day of trial. (Opp. at 8:9-21.) Plaintiff also notes the four-person trial team worked throughout the weekend after trial had adjourned.

PSA contends a busy trial day in a case like the one at issue will reasonably cost around \$25,000 and that PSA’s counsel was up before sunrise and worked late into the night. (Reply at 10:5-9.)

The Court finds a reduction based on Plaintiff’s contention

		billing was excessive for trial is not warranted given the general nature of trial and the amount of preparation it requires as well as the specific circumstances of this case. Plaintiff further contends PSA spent excessive time with witness testimony preparation as well as on the motion for nonsuit. Upon review, it does appear the contested billing appears excessive, including with witness preparation and the fee motion. As such, the Court further reduces by 25% the already reduced fees based on the CLRA claim discussed above to \$718,701.75. <u>Clerical work</u> Plaintiff also seeks a reduction in fees for work it contends is clerical and therefore noncompensable as set forth in Plaintiff's Appendix C. Calendaring deadlines, preparing proofs of service, and preparing binders for a hearing, and saving documents to the computer, are examples of tasks that have been found to be clerical and therefore noncompensable or compensable at a reduced billing rate. (<i>Save Our Uniquely Rural Community Environment v. County of San Bernardino</i> (2015) 235 Cal.App.4th 1179, 1187.) The Court declines to deduct the fees set forth in Plaintiff's Appendix C. <u>Anticipated fees</u> Finally, Plaintiff contends the requested fees should exclude fees anticipated for work in connection with PSA's reply to the opposition to the fee motion and possible oral argument in the amount of \$16,800 (15 partner hours (\$720/hr) and 15 associate hours (\$400/hr). A fee award may include compensation for all hours reasonably spent, including those necessary to establish and defend the fee claim. (<i>Ketchum v. Moses</i> (24 Cal.4th 1122, 1141.) The Court finds PSA is entitled to fees incurred in connection with its fee claim, including the reply and appearance at a hearing. The Court ORDERS counsel for PSA to submit a declaration setting forth actual hours spent on the reply and hearing. The Court GRANTS Defendant Collectors Universe Inc., also sued in the name of its division, Professional Sports Authenticator aka PSA's Motion for Attorneys' Fees in the reduced amount of \$718,701.75.
9	23-01357510 <i>Lubinski vs. Hartman</i>	Motion for Summary Judgment and/or Adjudication The Motion for Summary Adjudication by Defendants Red Hat, Inc. and Thomas Hartman is GRANTED as to the third, tenth, and eleventh causes of action and DENIED as to the remaining issues.